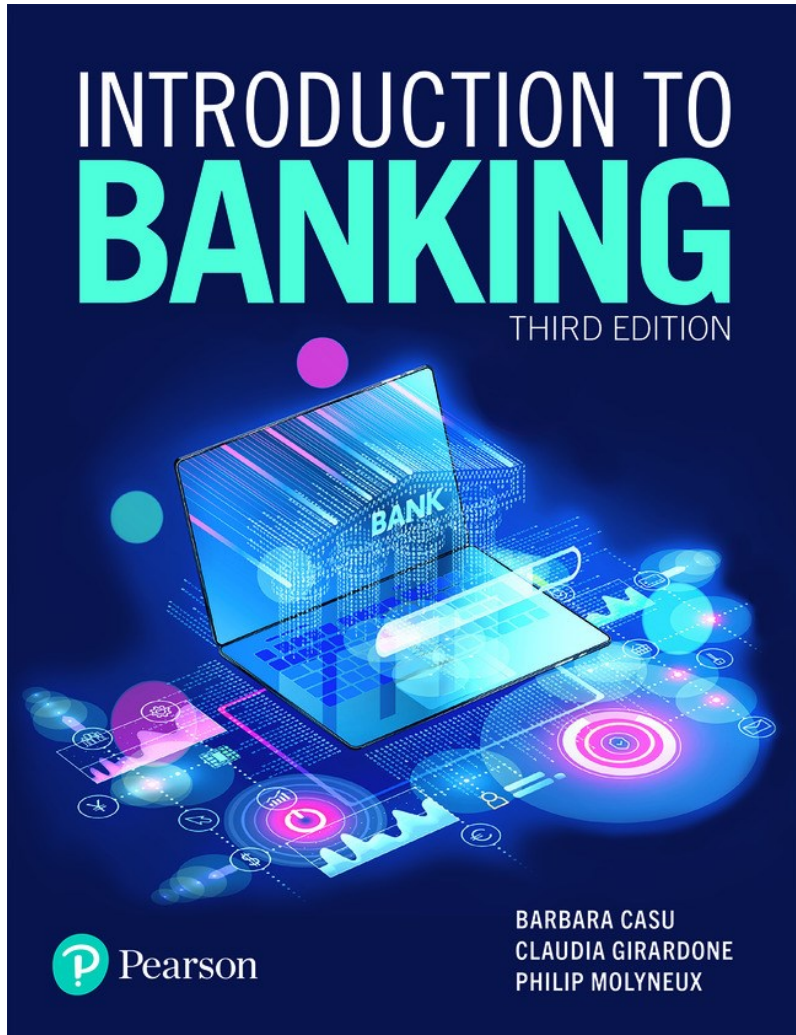


Introduction to Banking

Third Edition



Part One

Introduction to banking

Chapter 1

What is special about banks?

Figure 1.3

Direct and indirect finance

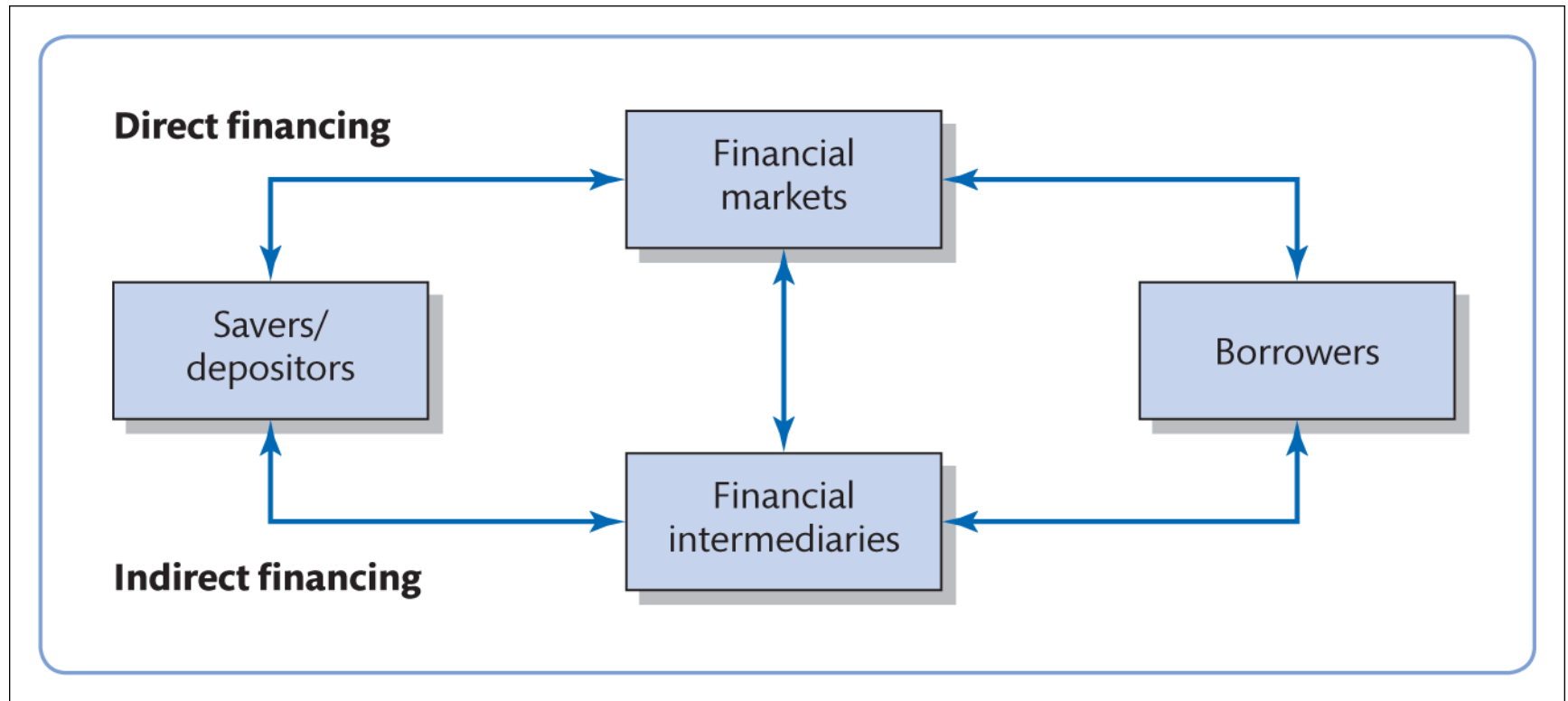


Figure 1.4

Modern financial intermediation

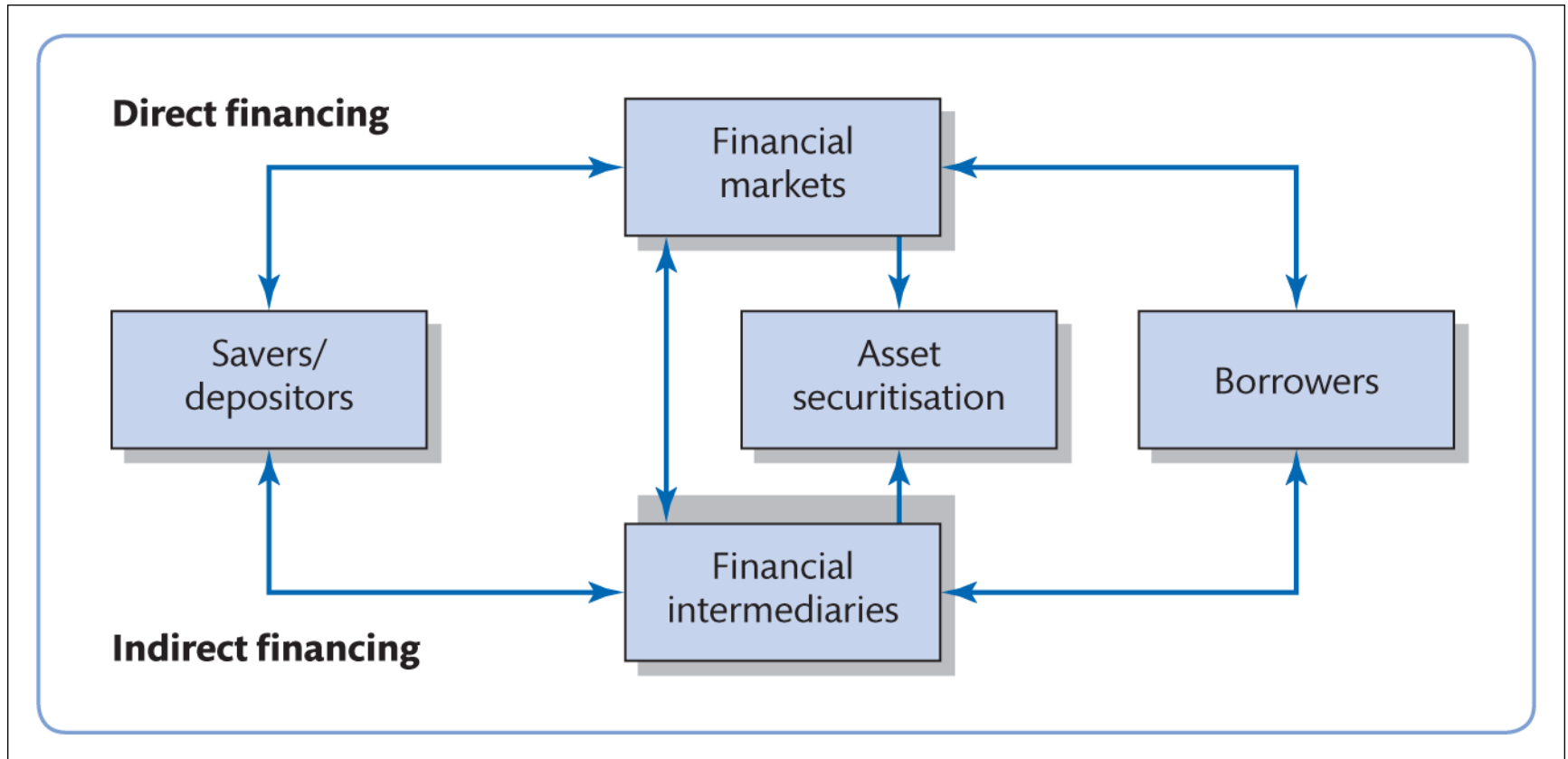


Figure 2.1

Classification of financial intermediaries in the UK

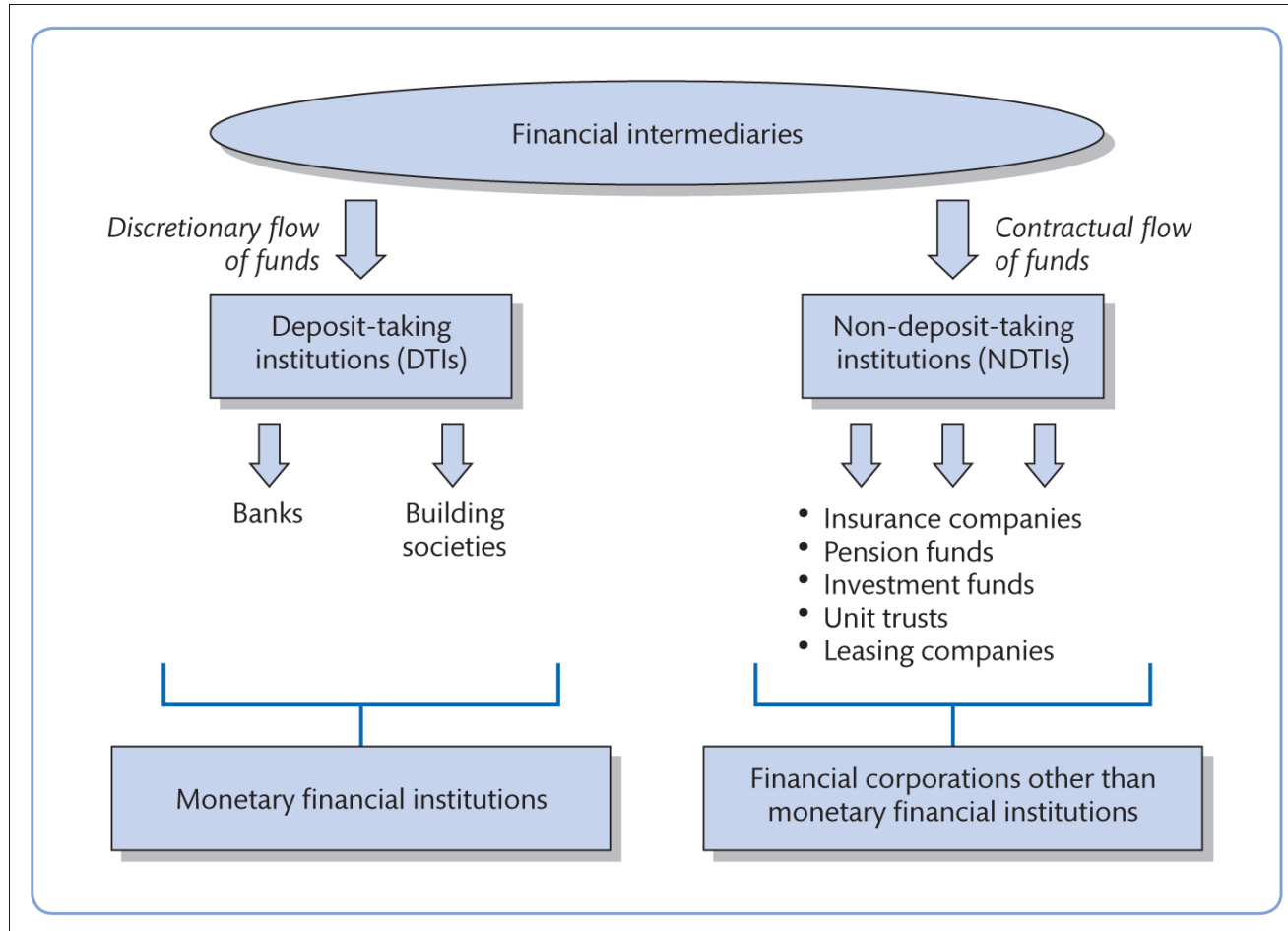


Figure 2.2

Banks' core activities

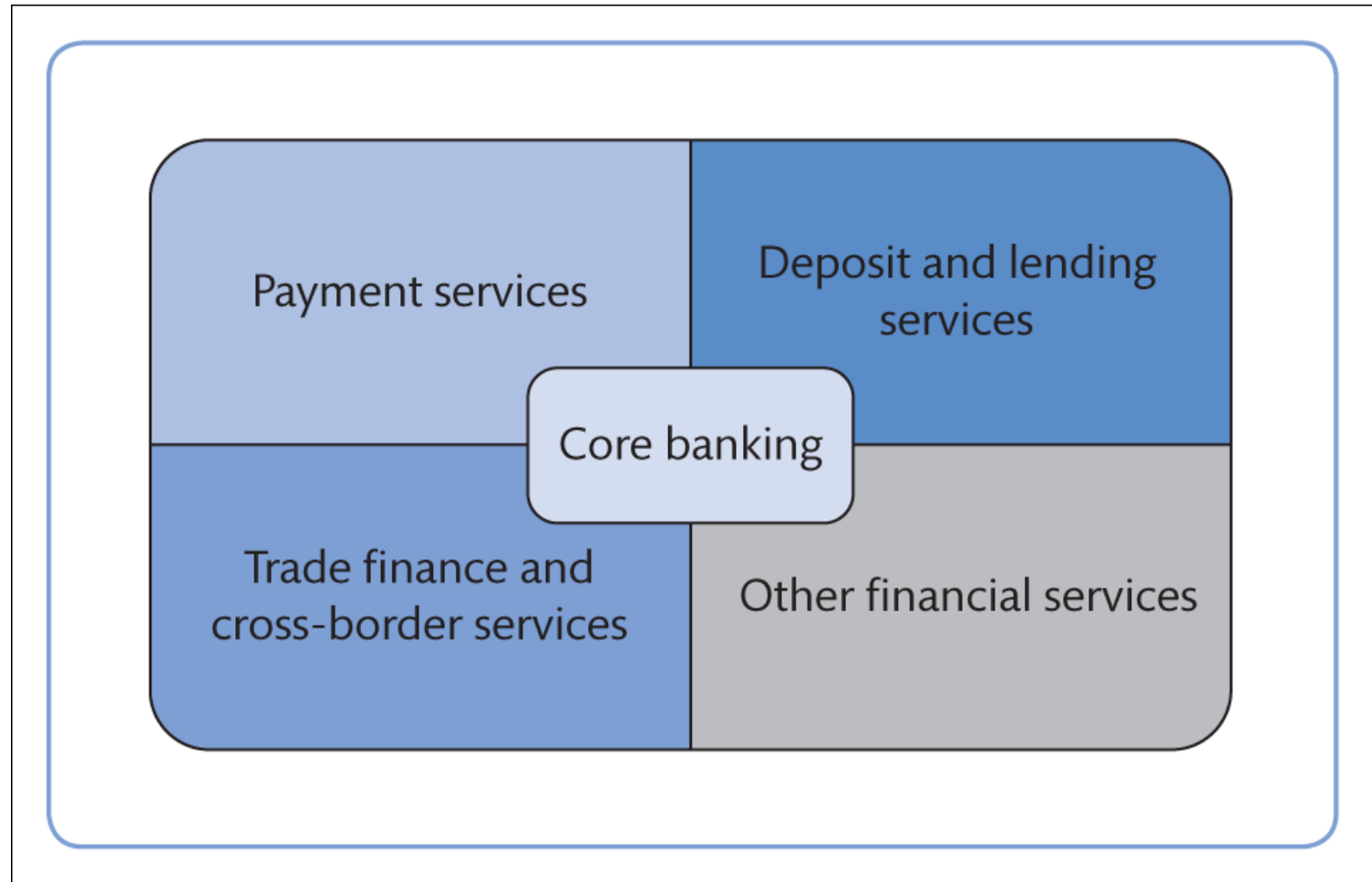


Table 3.1

Traditional versus modern banking

Traditional banking	Modern banking
Products and services: LIMITED • Loans • Deposits	Products and services: UNIVERSAL • Loans • Deposits • Insurance • Securities/investment banking • Pensions • Other financial services
Income sources: • Net interest income	Income sources: • Net interest income • Fee and commission income
Competitive environment: • Restricted	Competitive environment: • High competition
Strategic focus: • Assets size and growth	Strategic focus: • Returns to shareholders • Creating shareholder value (generating return-on-equity (ROE) greater than the cost of capital)
Customer focus: • Supply led	Customer focus: • Demand led • Creating value for customers

Figure 3.1

Types of banking

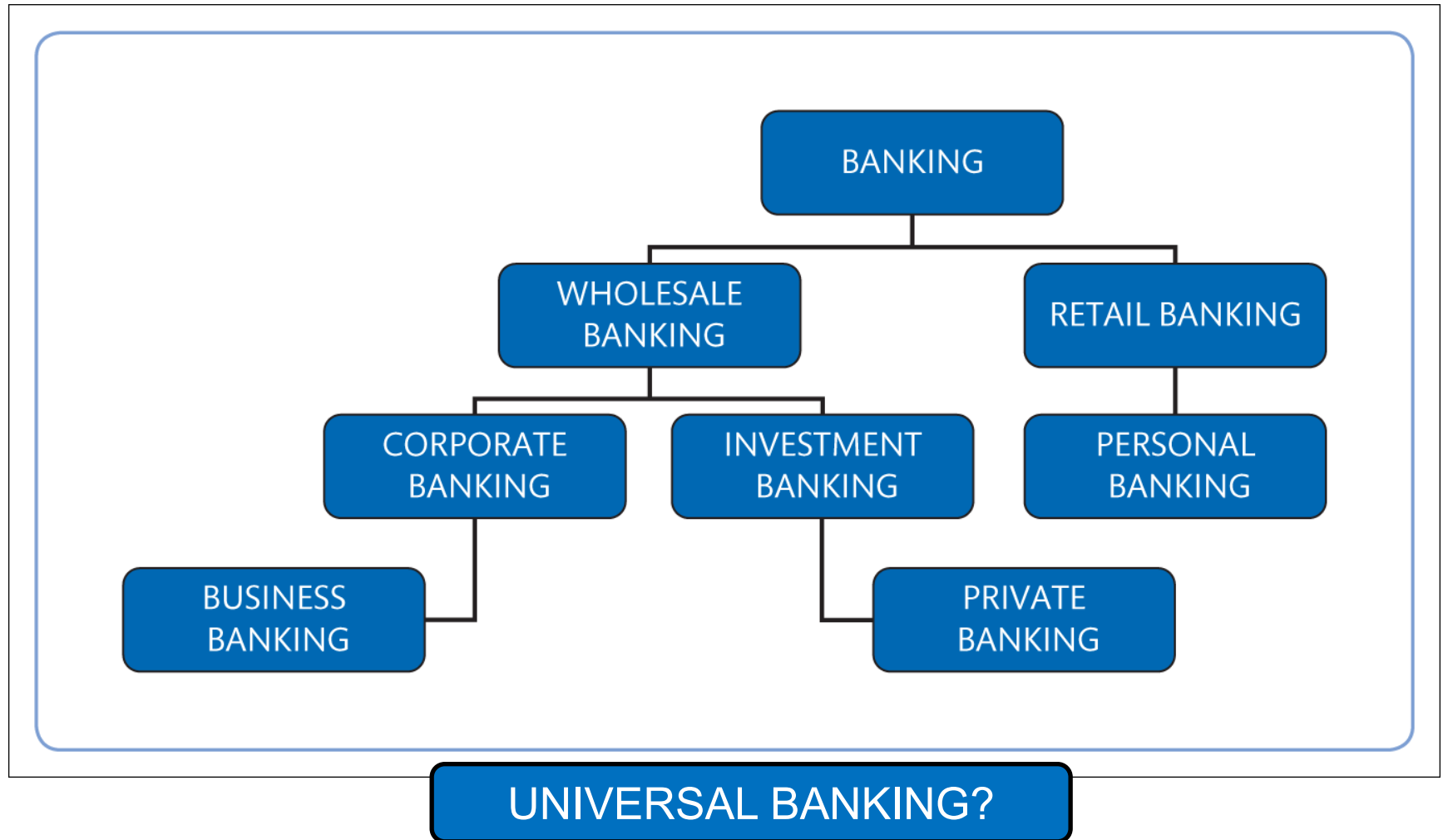
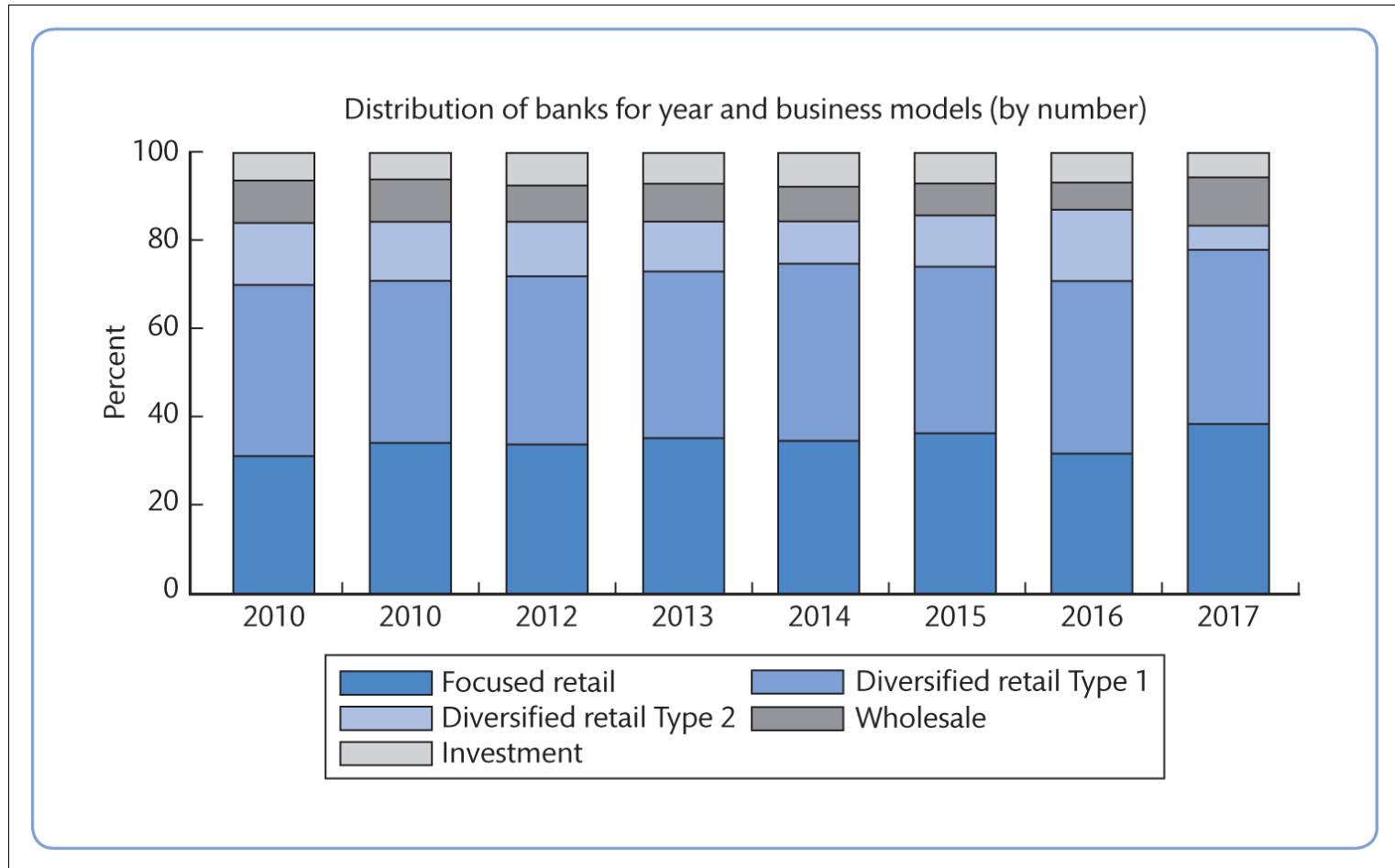


Figure 3.10

Bank business models in Europe



Source: Adapted from Ayadi *et al.* (2021).